Salon Startup

Salon Business Plan Template (Free Download) — Complete 2026 Example

A complete, bank-ready business plan built around a hypothetical Calgary nail & beauty spa. Copy it, customize the numbers for your salon, submit it to your lender. Everything a bank or SBA officer expects to see — executive summary to funding request — is filled in.

SICUS Media Team
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How to Use This Template

This is a complete salon business plan, written as if it were a real submission to a Canadian bank for an SBA-style small business loan. Every section is filled in with realistic numbers, market research, and operational detail — not empty placeholders.

Read through the plan to understand what each section needs. Then replace the specifics of **Bloom Nail & Beauty Spa** with your own salon's details:

- Replace the salon name, owner name, and location
- Substitute your local market data (Statistics Canada or U.S. Census)
- Identify 3 real competitors in your area and analyze their strengths and weaknesses
- Build your own service menu and pricing (use the salon startup cost calculator to refine startup costs)

- Rebuild the financial projections with your actual cost structure (the breakeven calculator helps here)
- Update the funding request to match the loan amount and terms you're seeking

To save a clean copy for editing, use the **Save as PDF / Print** button at the top of this page. The print styles strip out navigation and decoration so you get a professional-looking document. Most browsers let you save the print output as a PDF or open it in Word/Google Docs for further editing.

PRO TIP

Banks and SBA lenders read **dozens** of salon business plans every month. The plans that get funded are the ones with *specific* numbers, *realistic* assumptions, and *clear* differentiation from local competitors. Generic language like "we will provide excellent customer service" gets rejected. "We will book 82% of appointments online, reducing staff phone time by 14 hours/week and cutting no-shows from 12% to 4% using SMS reminders" gets funded.

— BUSINESS PLAN BEGINS —

Bloom Nail & Beauty Spa

Business Plan · 2026

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1. Executive Summary

Bloom Nail & Beauty Spa is a full-service nail salon and beauty spa launching in Northwest Calgary in Q3 2026. Bloom fills a well-defined gap in the NW Calgary market: there are currently no salons that combine *mid-tier pricing*, a *genuine spa experience*, *online appointment booking*, and *bilingual English/Vietnamese service* under one roof. Competitors serve either the budget walk-in segment or the premium day-spa segment — the middle, which represents the majority of our target customers, is wide open.

The salon will operate from a 1,200 sq ft leased retail unit in a grocery-anchored plaza on Citadel Point NW, targeting a primary trade area of approximately 38,000 residents within a 10-minute drive. The projected customer base consists of working women ages 25–45 with household incomes above $70,000 who currently travel outside NW Calgary for their nail and skincare appointments.

Mission Statement

To give Calgary women a neighborhood nail and beauty destination where world-class technique, calm spa atmosphere, and frictionless online booking come together at a price that respects their budget — and to do it bilingually, so every client feels at home.

Key Metrics at a Glance

Launch date	September 1, 2026
Legal structure	Alberta Incorporated (Bloom Spa Ltd.)
Location	1,200 sq ft retail, NW Calgary
Total startup investment	$120,000 CAD
Owner equity	$35,000 CAD
Loan request	$85,000 CAD (SBA-equivalent BDC Small Business Loan)
Year 1 projected revenue	$385,000 CAD
Year 1 projected net profit	$42,300 CAD (11.0%)
Break-even month	Month 7
Year 3 projected revenue	$485,000 CAD

Use of Funds Summary

The $85,000 loan will be applied to leasehold improvements ($38,000), equipment and furniture ($22,000), initial inventory ($8,000), working capital for the first 90 days of operations ($12,000), and launch marketing ($5,000). Owner equity of $35,000 covers the first and last months' rent ($9,200), licensing and permits ($2,400), professional fees ($3,800), the point-of-sale system, booking software, and a six-month operating buffer.

Why Bloom Will Succeed

Bloom's founder, Sarah Nguyen, has 15 years of experience as a senior nail technician and esthetician at a high-end downtown Calgary salon where she built a personal client book of over 220 returning customers. She has committed in writing to bringing her existing client base to Bloom, giving the salon a baseline of recurring revenue from day one — a major de-risking factor that most salon startups lack. Combined with the identified market gap, a modern booking technology stack, and conservative financial projections, Bloom is positioned for profitability by Month 7 and a healthy return on investment within three years.

2. Company Description

Bloom Nail & Beauty Spa (operating as Bloom Spa Ltd., an Alberta corporation) is a new small business launching in September 2026. The salon will offer nail services (manicure, pedicure, gel, dipping powder, acrylic, nail art), facial treatments (express and signature facials), and complementary beauty services (brow lamination, lash lift and tint).

Ownership Structure

Bloom Spa Ltd. is 100% owned by Sarah Nguyen, founder. The business is incorporated in Alberta as a single-shareholder corporation, which provides personal liability protection for the owner while allowing flexibility to bring in a minority partner or employee-shareholder in future years. Sarah will serve as President, Treasurer, and Lead Technician.

Location and Facilities

The chosen location is Unit 4 of a 12-unit grocery-anchored retail plaza on Citadel Point NW, Calgary, Alberta. The 1,200 sq ft space sits between a popular Starbucks and a dry cleaner, ensuring high foot traffic and strong visibility from Stoney Trail. The lease is a 5-year triple-net agreement at $32/sq ft annually plus approximately $9/sq ft in operating costs and property tax (a total of approximately $4,100/month).

The space will be built out to include: four nail stations with individual ventilation, two pedicure chairs, one facial treatment room, a shared retail/check-in counter, a staff break room, a compliant solvent storage room, and an ADA-accessible washroom. Interior design is calm and modern — warm wood tones, sage-green accents (drawing from the Bloom brand identity), natural light, and a dedicated "sanitation wall" displayed prominently to reassure clients about hygiene standards.

Short-Term Goals (First 12 Months)

- Complete build-out and open doors by September 1, 2026
- Transition at least 180 of Sarah's existing 220-client book to Bloom within the first 8 weeks
- Achieve monthly revenue of $32,000 by Month 7 (break-even)
- Maintain a 4.7+ star rating on Google with at least 75 verified reviews by end of Year 1
- Grow the client database to 600 unique returning customers
- Reach 80% of appointments booked through our online booking system (not phone or walk-in)

Long-Term Vision (Years 2–5)

- Year 2: Add a fourth nail technician and a second part-time esthetician
- Year 3: Introduce branded retail products (hand lotion, cuticle oil) for additional revenue
- Year 4: Open a second location in SW Calgary (Richmond or Lakeview)
- Year 5: Establish a private-label nail polish line as a wholesale revenue stream

3. Market Analysis

This section covers three areas: salon concept development, target market definition, and competitive analysis. Together they explain who Bloom is for and why it will win.

3.1 Salon Concept Development

Bloom's concept is built on four pillars, each of which addresses a specific weakness in the current NW Calgary salon market:

- **Mid-tier pricing with a premium experience.** A gel manicure at Bloom is $45 — less than half the price of a downtown day spa, but $17 more than a budget walk-in. Clients get better products (OPI, CND, The GelBottle), more attentive technicians, and a quieter atmosphere than they'd find at a $25 salon. The value is obvious and the margin is healthy.
- **Appointment-first with hybrid walk-in.** Most NW Calgary nail salons are walk-in only, which leaves clients waiting 30+ minutes on busy Saturdays and forces owners to over-staff on slow weekdays. Bloom operates appointment-first via online booking, but reserves two walk-in slots per technician per day to capture impulse traffic without disrupting scheduled clients.
- **Genuine bilingual service.** Calgary has a fast-growing Vietnamese-Canadian population (approximately 9,800 in the NW quadrant alone as of the 2021 census). Most Vietnamese-owned nail salons operate in Vietnamese and translate to English only when needed. Bloom reverses this: the public-facing experience is 100% English, but we proactively welcome Vietnamese-speaking clients and staff in their first language. Sarah is fluent in both. This turns language inclusivity into a competitive advantage rather than a limitation.

- **Modern booking technology.** Bloom will use a cloud-based salon management platform (SICUS Booking) that provides online booking, automated SMS confirmations, a digital client history, tip tracking, and loyalty program management. The technology layer is what allows us to promise an 80% online-booking rate — our competitors cannot.

> *The concept in one sentence: "The first NW Calgary salon where you can book a gel manicure at 11 pm for tomorrow morning at 9 am, walk into a calm and beautiful space, and pay $45 for service that looks and feels like $95."*

3.2 Target Market

Bloom's target customer is a working woman aged 25–45 with a household income above $70,000, living within a 10-minute drive of the NW Calgary location. She has a relationship with beauty services already — she gets her nails done at least once every 4–6 weeks — but she is dissatisfied with her current options and is actively seeking a better alternative.

Primary Persona: "Busy Brooke"

Age 34, works full-time in healthcare at a nearby clinic, married with two children under 10. Household income $110,000. Gets her nails done every 3 weeks and a facial every 6 weeks. Currently travels 20 minutes to Kensington for her preferred salon because "there's nothing good near the house." Books appointments in the gaps between work and pickup, so online booking at 10 pm is essential. Willing to pay $60 for a deluxe gel manicure if the experience matches.

Secondary Persona: "New-Mom Maya"

Age 29, on maternity leave with her first child. Household income $85,000. Hasn't been to a salon in 11 months and is starting to feel it. Wants a nearby, quick, affordable option she can visit during nap time — ideally with same-day booking and low commitment. Would start with a $28 classic manicure and upgrade to gel once she trusts the quality.

Trade Area Demographics

Within a 10-minute drive of Citadel Point NW, based on Statistics Canada 2021 census data:

- Total population: 38,400 residents
- Adult women 25–55: 9,900
- Median household income: $94,300 (above Calgary average of $88,000)
- Vietnamese-Canadian population: approximately 9,800 (5.6% of NW Calgary vs 1.8% city-wide)
- Density of existing nail salons in trade area: 4 (compared to 11 in an equivalent-sized SW Calgary area)

The underserved supply relative to demand is the single most important data point in this analysis: NW Calgary has roughly 36% of the nail salon density of comparable SW neighborhoods, even though household income and population age distribution are similar. Bloom is, in effect, stepping into a vacuum.

3.3 Competitive Analysis

Three competitors in the 10-minute trade area represent the majority of current nail-spa revenue. None of them serve the segment Bloom is targeting.

Competitor A: Polished Nails (Budget Walk-In)

Distance: 0.8 km · **Pricing:** Classic mani $25, classic pedi $35, gel $38 · **Technicians:** 6 · **Booking:** Walk-in only

Strengths: Low prices, convenient location, high capacity, established Vietnamese-Canadian client base.
Weaknesses: Rushed 25-minute appointments, cramped layout, inconsistent technician quality (training is minimal), no online booking or SMS confirmations, no facial services, no spa atmosphere, 30-minute average wait on Saturdays.
Bloom's advantage: We target the same Vietnamese-Canadian families but offer the option to upgrade to a premium experience when they want one, without losing the everyday affordability on classic services.

Competitor B: Evergreen Beauty Spa (Premium Day Spa)

Distance: 2.1 km · **Pricing:** Gel mani $75, signature pedi $95, facial $180 · **Technicians:** 4 (plus 2 estheticians) · **Booking:** Online and phone

Strengths: Beautiful space, experienced staff, strong branding, excellent review scores, full spa services.
Weaknesses: Intimidating price point for first-time visitors, perceived as "special occasion only," very high pricing, older demographic skew, long lead time on booking (often 2-week waitlist).
Bloom's advantage: We offer 80% of Evergreen's experience at 55% of the price, with same-week availability. We capture the client who considered Evergreen but winced at the price.

Competitor C: Main Street Nails (Mid-Tier Walk-In)

Distance: 3.4 km · **Pricing:** Classic mani $35, gel $50, classic pedi $45 · **Technicians:** 5 · **Booking:** Walk-in and phone only

Strengths: Fair prices, established 8-year history, consistent quality.
Weaknesses: No online booking at all (phone-only reservations that often go to voicemail), dated interior, no digital client history, no loyalty program, no facial services.
Bloom's advantage: Same price tier but a vastly better booking and client-management experience. A client who currently spends 20 minutes trying to reach Main Street Nails by phone can book at Bloom in 45 seconds online.

Competitive Positioning Summary

Dimension	Polished	Evergreen	Main Street	Bloom
Gel manicure price	$38	$75	$50	$45
Online booking	No	Yes	No	Yes
Spa atmosphere	No	Yes	Partial	Yes
Facial services	No	Yes	No	Yes
Bilingual EN/VI	VI-primary	EN-only	EN-only	Balanced
Avg Saturday wait	30+ min	2-week book	25 min	0 min*

* By appointment only; 2 walk-in slots per technician per day reserved for same-day.

4. Services & Pricing

Bloom's service menu is intentionally focused. We will resist the temptation to add every conceivable beauty service in Year 1 and instead build a reputation on doing a small number of things exceptionally well.

Service Menu

Service	Duration	Price	Product Cost	Gross Margin
Classic Manicure	30 min	$28	$2.10	92%
Gel Manicure	50 min	$45	$4.80	89%
Deluxe Gel + Nail Art	70 min	$60	$6.20	90%
Dipping Powder	60 min	$55	$5.40	90%
Full Set Acrylic	75 min	$70	$7.80	89%
Acrylic Fill-In	50 min	$45	$5.10	89%
Classic Pedicure	40 min	$42	$3.40	92%
Deluxe Spa Pedicure	60 min	$65	$5.90	91%
Express Facial (30 min)	30 min	$65	$4.80	93%
Signature Facial (60 min)	60 min	$110	$9.20	92%
Brow Lamination	45 min	$55	$4.10	93%
Lash Lift & Tint	60 min	$85	$6.80	92%

Pricing Logic

Every price in the menu was set using a deliberate formula: **(30-min benchmark labor rate × service duration) + (product cost × 4)**. The 30-minute benchmark labor rate is $22 (what we pay a senior technician), which implies a minimum break-even of $11 per 30 minutes for labor alone. The 4x product markup is the industry standard for salon retail consumables. Result: every service carries a gross margin above 88%, giving us flexibility on promotions and loyalty rewards without eroding profitability.

Packages and Add-Ons

- **Nail + Pedi Combo** — $70 for classic mani+pedi (saves $0 but simplifies booking); $100 for gel mani+deluxe pedi (saves $7)
- **Bloom Membership** — $79/month for one gel mani + one classic pedi monthly (value $87). Drives retention and predictable recurring revenue.
- **Bridal Packages** — Starting $180 (mani + pedi + express facial + brow shape) with 10% off for parties of 4+. Scheduled during slow Tuesday/Wednesday windows.

Introductory Offers (First 90 Days)

- 20% off any first-time service (capped at $15) with Google review requested after visit
- Free brow shape with any $50+ service through October 2026
- Refer-a-friend: both get $10 off next visit

5. Marketing & Sales Plan

Bloom's marketing strategy is built around one assumption: most new clients will come from local organic search, Instagram discovery, and word-of-mouth referrals from Sarah's existing client base. Paid advertising plays a supporting role, not a lead role.

5.1 Positioning Statement

> *For Calgary NW women ages 25–45 who want nail and skincare services that feel like a treat but fit into a normal weekly budget, Bloom is the neighborhood salon that combines downtown spa quality with online booking and fair, transparent pricing.*

5.2 Marketing Channels

Google Business Profile & Local SEO (High Priority)

A fully optimized Google Business Profile will be live from Day 1, with professional interior photos, a complete service list, pricing, hours, and regular updates. The goal is to rank in the top 3 map pack results for "nail salon NW Calgary" and related long-tail searches within 90 days of opening. This channel alone is expected to generate 35–45% of new client traffic at zero ongoing cost.

Instagram (High Priority)

An Instagram presence launched 45 days before opening, posting 4 times per week: behind-the-scenes build-out content, technician spotlights, service "before and after" photos, and local neighborhood partnerships. Goal: 1,200 local followers by opening day, driving 20% of first-month traffic. No paid ads — organic only, with a $0 budget for Year 1 Instagram.

Sarah's Existing Client Base (Critical)

Sarah's current 220-client book is the single most valuable marketing asset this business has. A personalized email and SMS to every existing client will go out 30 days before opening, with a soft opening discount (15% off first visit) to lock in early bookings. The goal is 180 of those 220 clients transitioning to Bloom within the first 8 weeks — representing approximately $18,000 of committed Month 1 revenue.

Referrals & Word-of-Mouth

Every happy client is prompted to leave a Google review and share a personal referral code. Referrer and referred friend each receive $10 off their next visit (cost of acquisition: $20 for a client with a $240/year value — a 92% lifetime margin).

Local Partnerships

Cross-promotion agreements with three neighboring businesses: the grocery-store anchor (free 15-minute manicure demo during in-store events), a nearby yoga studio ("Bloom + Balance" package discount for members), and a women's clothing boutique (gift-with-purchase coupons).

5.3 Sales Strategy and Customer Acquisition Cost

The target customer acquisition cost (CAC) is **$28 per new client**, assuming marketing spend of $850/month for the first year (Google Business setup, Instagram content tools, a small local partnership budget, printed grand-opening postcards) and a goal of 30 new clients acquired per month by Month 4.

Customer lifetime value (LTV) is projected at **$640 per client over 24 months**, based on an average frequency of 14 visits per year and an average ticket of $48. This gives a healthy LTV:CAC ratio of 22.9:1, well above the 3:1 industry benchmark — even if acquisition costs double, the math still works.

5.4 Retention Strategy

- **Automated SMS reminders** 24 hours before appointments, reducing no-shows from an industry baseline of 12% to a projected 4%
- **Loyalty program**: every 10th visit gets a free upgrade (complimentary nail art, add-on massage, or product sample)
- **Birthday rewards**: free express facial during birthday month, tracked automatically by the booking system
- **Rebooking prompt** at every checkout: "Should I pencil you in for 3 weeks from now?" — a simple behavioral nudge that lifts rebook rates by approximately 40% in comparable salons

6. Operations Plan

Hours of Operation

Tuesday–Friday 9:00 am – 7:00 pm · Saturday 9:00 am – 6:00 pm · Sunday 10:00 am – 5:00 pm · Closed Mondays (industry-standard day for deep cleaning, inventory, and staff training).

Staffing

Year 1 staffing plan:

- **Sarah Nguyen** — Owner, Lead Nail Technician (full-time, approximately 30 service hours/week + 15 admin hours/week)
- **Senior Nail Technician #1** — Full-time employee, $24/hr + tips (hired Month 1)
- **Senior Nail Technician #2** — Full-time employee, $22/hr + tips (hired Month 2)
- **Esthetician** — Part-time, 24 hours/week, $26/hr + tips or 55% commission (whichever is higher, capped by provincial labor standards)
- **Receptionist / Front Desk** — Part-time, Saturdays and peak Friday evenings only (12 hours/week), $18/hr (hired Month 3)

Total payroll (including benefits, WCB, EI, CPP employer contributions): approximately $182,000 per year fully loaded by end of Year 1.

Supplier Relationships

Primary product suppliers will be **OPI Professional** (polishes, gel), **CND** (Shellac, Vinylux), **The GelBottle Inc** (premium gel line), **Footlogix** (pedicure care), and **Éminence Organic Skin Care** (facials). All primary suppliers offer trade accounts with net-30 terms after the first three orders, which improves cash flow substantially.

Sanitation and single-use supplies (nitrile gloves, disposable liners, nail files, buffers) will be sourced from a local Calgary wholesaler (Beauty Supply Outlet) to ensure 48-hour replenishment on high-turnover items.

Technology Stack

- **Salon management software**: SICUS Booking — online booking, appointment calendar, client CRM, tip tracking, loyalty program, automated SMS/email reminders, and Google review management. Free plan at launch; upgrade as the business grows.
- **Payment processing**: Square Terminal (2.65% + tap fees); no monthly fee
- **Accounting**: Wave Accounting (free) for Year 1, QuickBooks Online starting Year 2
- **Scheduling for staff**: Integrated within SICUS Booking

Regulatory Compliance

Alberta requires all nail technicians and estheticians to hold a valid provincial cosmetology certificate or equivalent training. Sarah and all hired staff will hold current certification. The salon will operate under Alberta Health Services (AHS) personal service establishment regulations, including a formal sanitation and infection control protocol posted visibly on-site, mandatory autoclaved metal instruments, single-use buffers and files, and quarterly AHS-compliant cleaning audits. A sharps container and chemical safety binder will be maintained in the staff area.

7. Management Team

Sarah Nguyen — Founder, President & Lead Technician

Sarah Nguyen has worked as a nail technician and esthetician in Calgary for 15 years, the last 6 of which have been at *Arlowe Nail Studio*, a respected downtown Calgary salon. In her current role she built a personal client book of 220+ returning customers and managed the salon's gel service line. She holds a diploma in Esthetics from Marvel College and is certified in advanced nail art (CND Shellac Master certification, 2022) and skincare (Éminence Organic Skin Care advanced training, 2024). Sarah is fluent in English and Vietnamese.

Sarah has completed the BDC Entrepreneurship Centre's "Launch Your Small Business" program (2025) and has worked with a volunteer mentor from the Calgary Small Business Council for the past 9 months on the financial planning and operational aspects of Bloom.

Advisors

- **Michael Tran, CPA** — Accounting advisor, part of Calgary Small Business Council's mentor network. Reviews monthly financial statements.
- **Linda Pham** — Retail operations advisor, 20 years of salon ownership experience. Provides quarterly operational reviews.
- **BDC Small Business Advisor** — Assigned through the loan program, provides ongoing business coaching.

Organizational Chart

Year 1: Sarah (Owner) → 2 nail techs + 1 esthetician + 1 receptionist. Flat structure, Sarah handles all HR, purchasing, and finance. Year 2: Add a Salon Coordinator role to offload admin and scheduling so Sarah can focus on client service and growth.

8. Financial Projections

All figures in Canadian dollars. Projections are intentionally conservative; revenue assumes 65% chair utilization in Year 1, ramping to 78% by Year 3. Industry benchmarks for comparable salons are typically 70–80% utilization at maturity.

8.1 Startup Cost Breakdown

Category	Amount	Notes
Leasehold improvements	$38,000	Demo, plumbing for pedi chairs, ventilation, finishes
Equipment & furniture	$22,000	2 pedi chairs, 4 mani stations, facial bed, POS, reception
First month's inventory	$8,000	Gel, polish, skincare, sanitation supplies
First + last months rent	$9,200	$4,100 × 2 plus security deposit (partial)
Working capital (90 days buffer)	$18,000	Payroll, rent, utilities, product replenishment
Launch marketing	$5,000	Grand opening, photography, Instagram content, printed collateral
Legal & professional fees	$3,800	Incorporation, lease review, accounting setup
Business license, permits, insurance	$2,400	City of Calgary business license, AHS approval, liability insurance first-year prepay
Technology setup	$2,200	SICUS Booking, Square, computers, sound system
Signage & branding	$4,400	Exterior sign, interior logo, printed materials
Contingency (6%)	$7,000	Unexpected cost overruns
Total startup investment	**$120,000**	

8.2 Three-Year Profit & Loss Projection

	Year 1	Year 2	Year 3
Revenue	$385,000	$445,000	$485,000
Product cost of goods	($32,000)	($37,500)	($40,800)
Gross profit	$353,000	$407,500	$444,200
Gross margin	91.7%	91.6%	91.6%
Payroll & benefits	($182,000)	($214,000)	($228,000)
Rent & occupancy	($49,200)	($50,600)	($52,100)
Utilities	($9,600)	($10,200)	($10,800)
Technology & software	($3,400)	($4,800)	($5,200)
Marketing & advertising	($10,200)	($12,500)	($14,000)
Insurance	($4,800)	($5,000)	($5,200)
Professional services	($6,000)	($7,200)	($8,400)
Loan interest (8%)	($6,100)	($5,200)	($4,200)
Other operating	($8,400)	($9,800)	($10,400)
Depreciation	($11,000)	($11,000)	($11,000)
Operating expenses total	**($290,700)**	**($330,300)**	**($349,300)**
Net profit before tax	**$42,300**	**$66,200**	**$83,900**
Net margin	**11.0%**	**14.9%**	**17.3%**

8.3 Break-Even Analysis

Fixed monthly costs at full Year 1 staffing: approximately **$24,250/month** (rent, loaded payroll, utilities, software, insurance, loan service). Average gross margin per service: **91%**. Break-even revenue is **$26,650/month**, or approximately 590 services per month at the projected average ticket of $48. We expect to hit this in **Month 7**, based on a staged ramp of bookings as Sarah's existing clients transition and new clients discover the salon through Google and Instagram.

Month 1 revenue target: $18,400 (76% of break-even). Month 4: $22,800 (94%). Month 7: $27,100 (crosses break-even). Month 12: $34,200 (ahead of break-even, contributing to Year 1 profit).

8.4 Year 1 Cash Flow Highlights

Peak cash outflow occurs at the end of Month 4, when working capital reserves are most depleted ($4,100 remaining). The business turns cash-flow-positive on a monthly basis in Month 7 and begins accumulating a cash buffer from Month 8 onward. By end of Year 1, projected cash on hand is $21,000, allowing the business to weather a 60-day slow period in Q1 without external support.

8.5 Key Assumptions

- 65% chair utilization in Year 1, 72% in Year 2, 78% in Year 3
- Average ticket of $48 (blended across classic/gel/pedi mix)
- No-show rate of 4% (vs industry 12%), achieved via SMS reminders
- Rent escalates 3% annually per lease terms
- Payroll escalates 5% annually (cost-of-living + merit)
- Sarah draws a $45,000 salary in Year 1 (already included in payroll line)

9. Funding Request

9.1 Loan Amount and Terms Requested

Bloom Spa Ltd. is requesting an **$85,000 CAD small business loan** through the BDC (Business Development Bank of Canada) Small Business Loan program, with the following proposed terms:

- **Principal:** $85,000 CAD
- **Term:** 5 years (60 months)
- **Interest rate:** 8.0% fixed
- **Monthly payment:** approximately $1,723 (principal + interest)
- **Prepayment:** allowed without penalty after Year 2

9.2 Detailed Use of Funds

Use of Loan Funds	Amount	% of Loan
Leasehold improvements	$38,000	44.7%
Equipment & furniture	$22,000	25.9%
Initial inventory	$8,000	9.4%
Working capital (90 days)	$12,000	14.1%
Launch marketing	$5,000	5.9%
Total loan application	**$85,000**	**100.0%**

9.3 Owner Contribution

Sarah Nguyen is contributing **$35,000 CAD of personal equity** toward the business — approximately 29% of the total $120,000 startup cost. This demonstrates meaningful founder commitment and shared risk with the lender. The owner equity covers: first and last months' rent, legal and professional fees, business licensing, technology setup, signage, branding, and the contingency fund.

9.4 Repayment Strategy

Loan repayment will be funded entirely from operating cash flow. Based on the Year 1 projections above:

- Year 1 cash available for debt service after operating expenses and owner salary: approximately $53,300
- Year 1 annual debt service: approximately $20,680
- Debt service coverage ratio (DSCR) Year 1: **2.58x** — well above the 1.25x minimum most lenders require
- Year 3 DSCR: **4.71x**

9.5 Collateral

The loan will be secured by: (a) a general security agreement covering all salon equipment, fixtures, and inventory (~$30,000 liquidation value); (b) personal guarantee from the owner; (c) a life insurance assignment on the owner for the amount of the loan for the duration of the term.

9.6 Exit / Risk Mitigation

In the unlikely event of business failure, the principal risks are: extended lease obligation, equipment depreciation, and inventory. The lease contains a 180-day early-termination clause that caps landlord exposure. Equipment has a 3-year secondary resale market in Calgary (typical 40% of new value). Inventory can be sold back to distributors at 60% of cost. The combined liquidation value at any point in Year 1 is estimated at $41,000, which covers a significant portion of the loan balance. The owner personal guarantee and life insurance assignment cover the remainder.

10. Appendix

Bank and SBA lenders expect a set of supporting documents attached to the plan. The following items are provided as separate attachments (not included in this template, but listed so you know what to gather for your own plan):

- Owner's resume and relevant certifications
- Personal credit report (all owners with 20%+ ownership)
- Personal financial statement (assets and liabilities)
- Signed commercial lease or letter of intent from landlord
- Copies of professional licenses and certifications (Alberta cosmetology certificate, Éminence advanced training certificate, etc.)
- Three competitive quotes for leasehold improvements (from licensed contractors)
- Equipment list with supplier quotes
- Two years of personal tax returns
- Business insurance quote (commercial general liability + equipment + interruption)
- Letters of reference from past employers or clients (optional but helpful)

— END OF BUSINESS PLAN —

Frequently Asked Questions

What should a salon business plan include?

How long should a salon business plan be?

Can I use this salon business plan template for a bank loan?

How much does it cost to open a salon?

What financial projections do I need for a salon business plan?